



India Metal

Global Markets Research

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EQUITY: METALS & MINING

Aluminium: China shutdown fears lift prices

Quick Note

Research Analysts

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China shutdown fears trigger sharp price reaction

LME aluminium climbed to a four-year high after reports of smelter shutdown concerns in China reignited supply disruption fears ([link](#)). The market reaction was sharp despite a recent build in visible inventories ([Fig. 1](#)), highlighting that sentiment is being driven by forward supply concerns rather than immediate physical tightness.

China's dominance makes any supply disruption globally relevant

China remains the largest aluminium producer globally, accounting for ~60% of primary aluminium output ([Fig. 2](#)). As a result, even incremental production disruptions or policy-led curtailments can have an outsized impact on global balances, particularly in a market where supply flexibility is already constrained.

Broader global supply environment was already tightening

The China headline comes against an already tightening global supply environment. Recent operational disruptions across global aluminium markets, including operational constraints at smelting assets in regions such as the Middle East, have incrementally tightened supply expectations. As a result, we believe the current rally is not purely a China-specific reaction ([Fig. 5](#)), but an amplification of broader concerns around supply resilience.

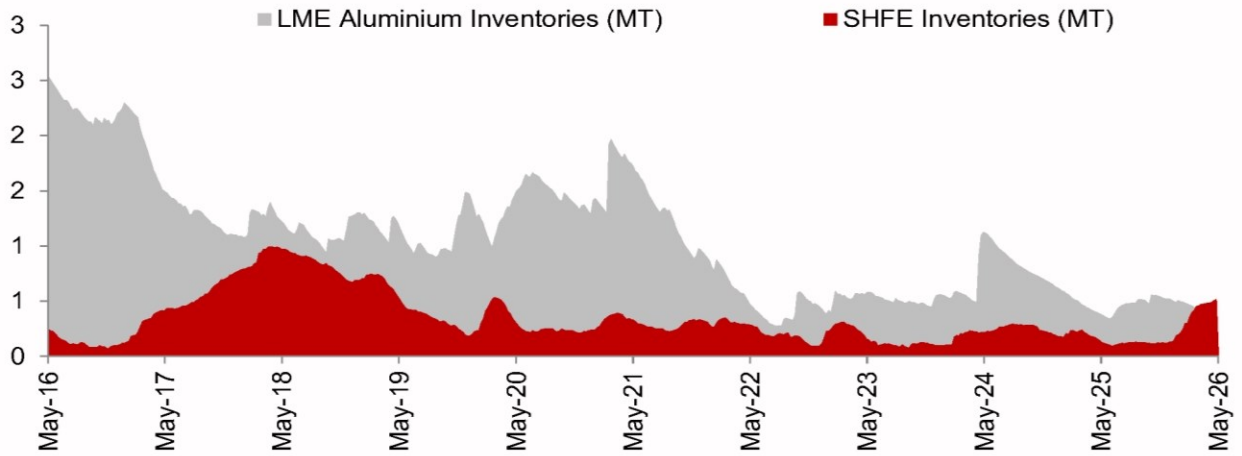
Price action reflects forward risk, not current scarcity

Aluminium inventories have recently moved higher, which would ordinarily weigh on pricing. However, in our view, the market appears to be looking through near-term inventory builds and instead pricing in the risk of fresh supply disruptions, suggesting commodity positioning is being driven by anticipated tightness rather than current scarcity.

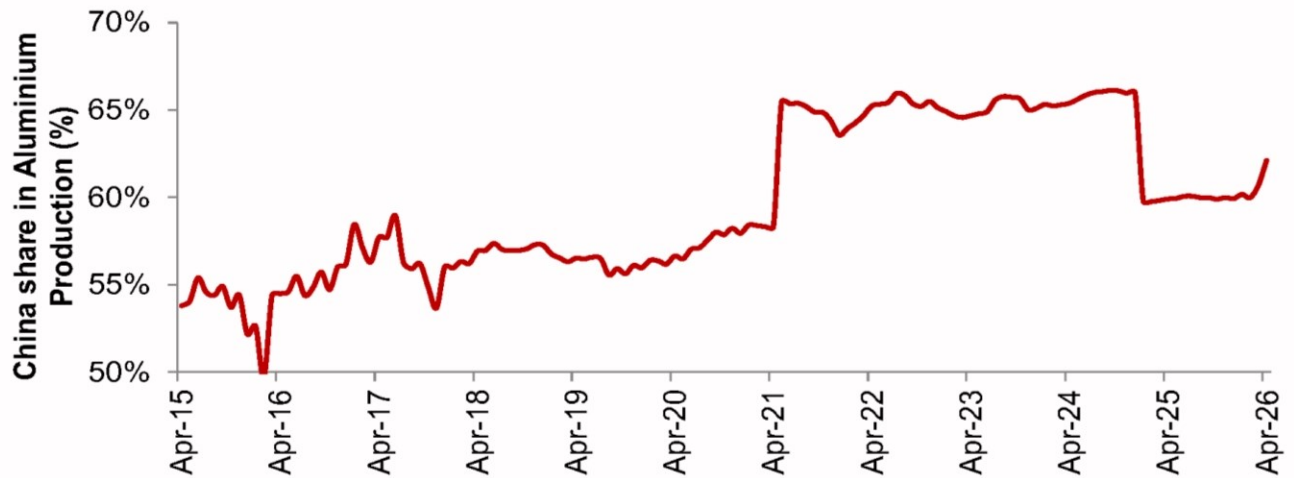
India-based upstream names in our coverage remain key beneficiaries

We believe higher aluminium prices are positive for upstream producers in our coverage through stronger realizations, improved EBITDA/tonne and stronger cash generation ([Fig. 3](#)).

We maintain our Buy recommendations on Tata Steel (TATA IN), JSW Steel (JSTL IN), Jindal Steel (JINDALST IN) and Lloyds Metals (LLOYDSME IN).

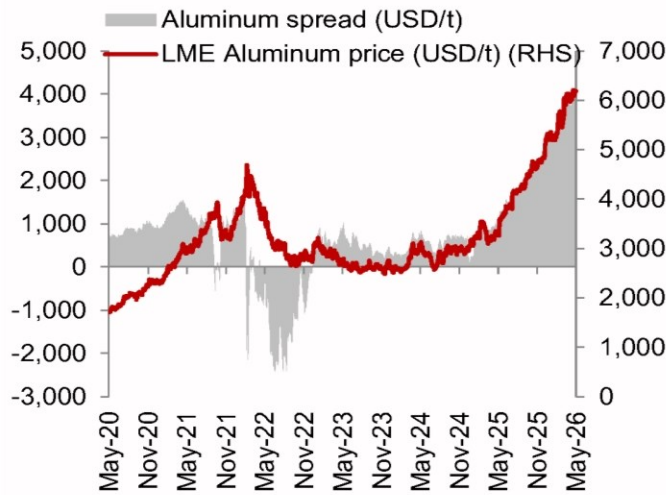
Fig. 1: China aluminium inventories have increased ~55% in 1Q vs 4Q raising risk of production curtailment

Source: Bloomberg Finance L.P., Nomura research

Fig. 2: China accounts for >60% of the global primary aluminium production

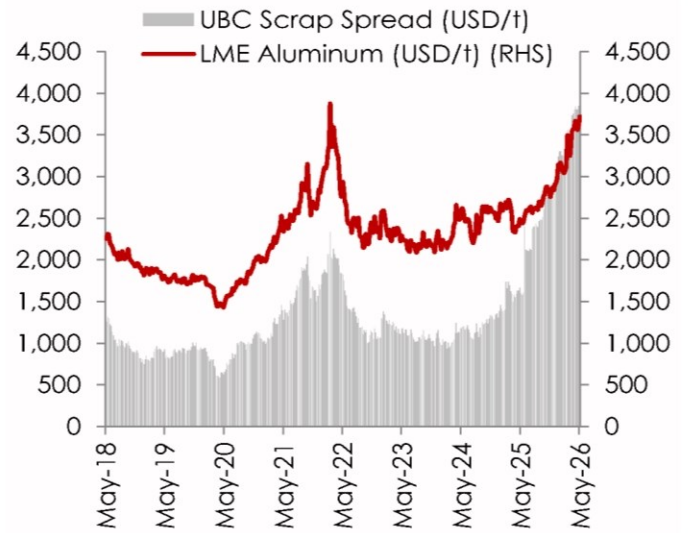
Source: Bloomberg Finance L.P., Nomura research

Fig. 3: 1Q average aluminium spreads are up ~22% vs 4Q average largely on account of strong aluminium pricing



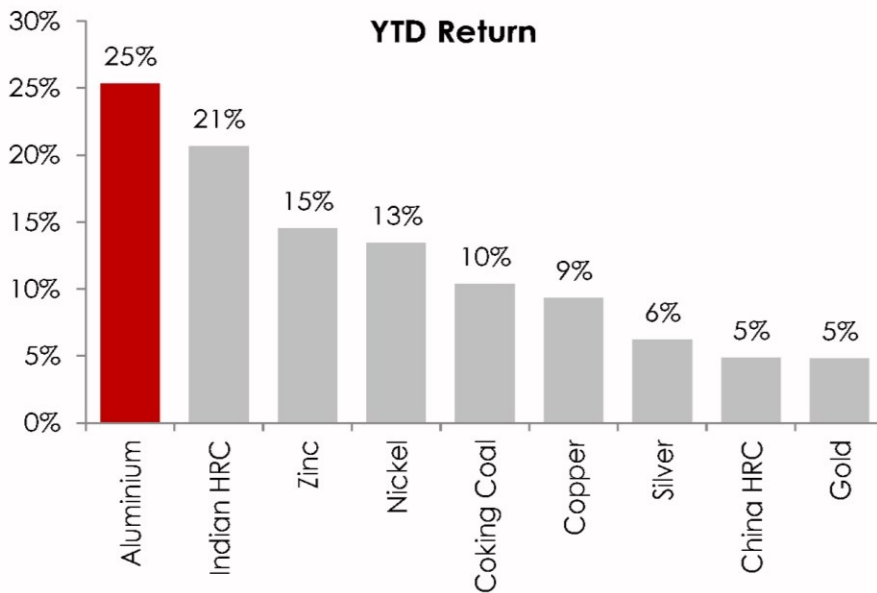
Source: Bloomberg Finance L.P., Nomura research

Fig. 4: UBC spread is up 15% in 1Q vs 4Q average as scrap prices have increased 9% in the same period



Source: Bloomberg Finance L.P., Nomura research

Fig. 5: Aluminium has been the best-performing commodity, closely followed by India's domestic HRC prices



Source: Bloomberg Finance L.P., Nomura research

Appendix A-1

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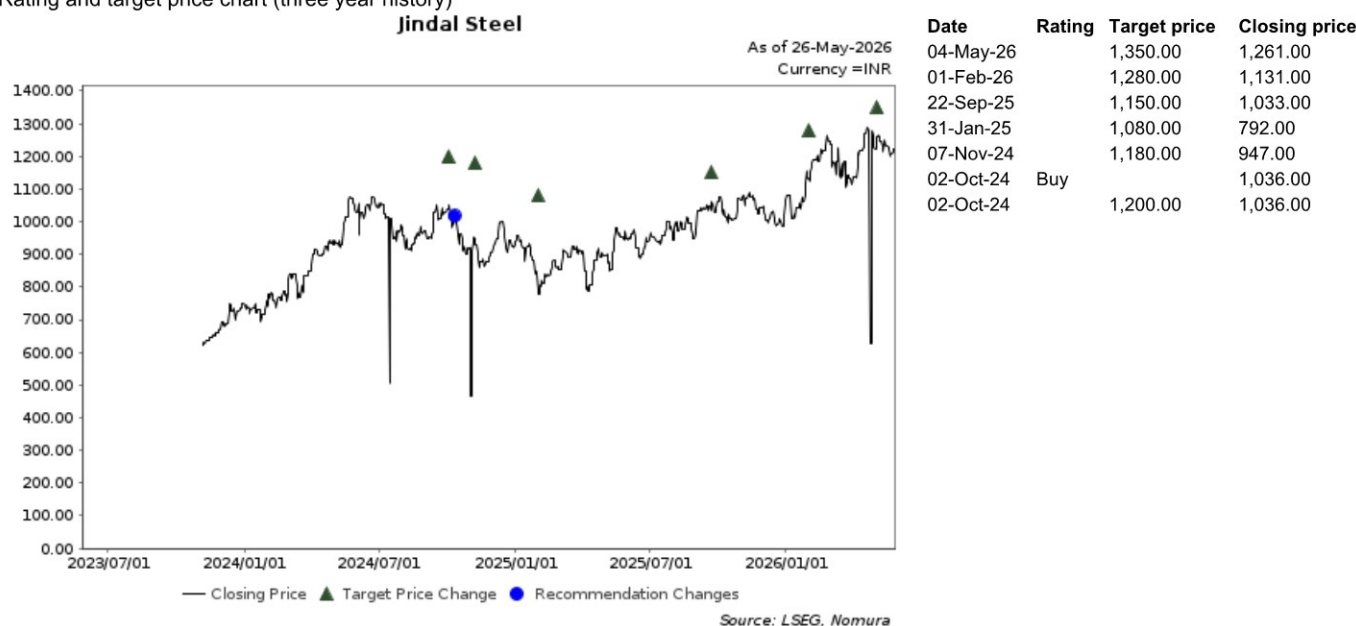
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Jindal Steel	JINDALST IN	INR 1,223	26-May-2026	Buy	N/A	
JSW Steel	JSTL IN	INR 1,294	26-May-2026	Buy	N/A	
Lloyds Metals and Energy	LLOYDSME IN	INR 1,854	26-May-2026	Buy	N/A	
Tata Steel	TATA IN	INR 210	26-May-2026	Buy	N/A	

Jindal Steel (JINDALST IN)

INR 1,223 (26-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



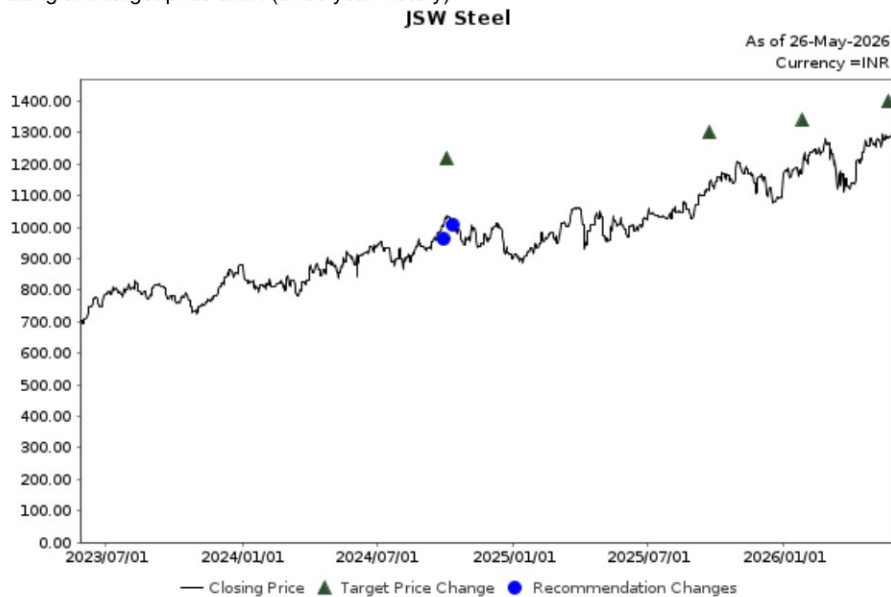
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We arrive at TP of Rs1,350 by applying slightly higher than mid-cycle one-year-forward EV/EBITDA of 8.0x on new steady-state EBITDA in June-28F. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price 1. Lower spreads - If Chinese HRC margins fail to recover or if the net exports from China increase, it would result in continued pressure on export HRC prices. In such a case, domestic HRC prices will remain under pressure due to lower import parity prices leading to lower spreads/margins. 2. Delays in expansion & cost overruns - This would result in lower than expected volume from FY26F onwards. Delay in commissioning might also result in capex cost overrun resulting in lower than earlier expected ROCE 3. Domestic demand disruptions - If the domestic demand grows lower than expected or lower than the capacity addition, it would result in lower domestic HRC margins and higher dependance on exports. In such a case, the margins will be lower than expected

JSW Steel (JSTL IN)**INR 1,294 (26-May-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
21-May-26		1,400.00	1,281.00
26-Jan-26		1,340.00	1,170.00
22-Sep-25		1,300.00	1,117.00
02-Oct-24	Buy		1,027.00
02-Oct-24		1,220.00	1,027.00
20-Sep-24	Not Rated		982.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We arrive at TP of INR1,400 by applying slightly higher than mid-cycle one-year forward EV/EBITDA of 8.1x on new steady-state EBITDA in Jun'28. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price 1. Lower spreads - If Chinese HRC margins fail to recover or if the net exports from China increase, it would result in continued pressure on export HRC prices. In such a case, domestic HRC prices will remain under pressure due to lower import parity prices leading to lower spreads/margins. 2. Delays in Dolvi commissioning - This would result in lower than expected volume from FY28F onwards. Delay in commissioning might also result in capex cost overrun resulting in lower than earlier expected ROCE 3. Domestic demand disruptions - If the domestic demand grows lower than expected or lower than the capacity addition, it would result in lower domestic HRC margins and higher dependence on exports. In such a case, the margins will be lower than expected

Lloyds Metals and Energy (LLOYDSME IN)**INR 1,854 (26-May-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
26-May-26		2,050.00	1,854.00
24-Feb-26	Buy		1,164.00
24-Feb-26		1,600.00	1,164.00

For explanation of ratings refer to the stock rating keys located after chart(s)

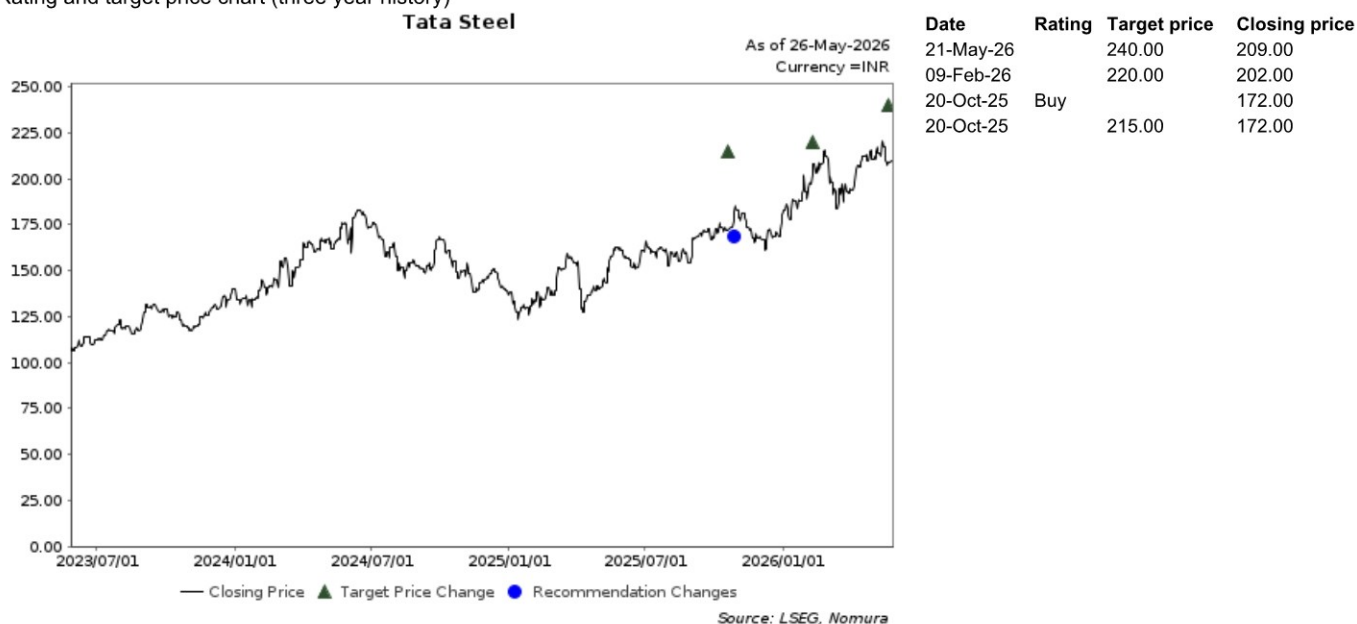
Valuation Methodology We arrive at SOTP-based TP of INR2,050 by applying a target EV/EBITDA of 8.4x on new steady-state EBITDA in Jun'28. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price Risks: (1) a delay in steel capacity;; (2) political unrest in the Democratic Republic of the Congo affecting the copper business;; (3) BHQ beneficiation not yielding the same results as seen in the pilot project;; and (4) resurfacing of Naxal activities.

Tata Steel (TATA IN)

INR 210 (26-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We arrive at TP of INR240 by applying slightly higher than mid-cycle one-year forward EV/EBITDA multiple of 7.7x on new steady-state EBITDA in June'28. The benchmark for this stock is NIFTY50

Risks that may impede the achievement of the target price Delays in subsidiary's expansion, weaker-than-expected demand growth, lower spreads, increased regulatory scrutiny on European operations and sustained elevation in iron ore prices beyond FY30F.

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